

1. Overview

A personal loan is an unsecured loan provided by banks and NBFCs for personal expenses like travel, weddings, emergencies, or debt consolidation. No collateral is required.

2. Eligibility Criteria

Age: 21 to 60 years. Minimum income: Rs. 20,000/month. CIBIL score: Minimum 650+ (750+ for best interest rates). Employment: Minimum 2 years total experience, 1 year at current employer.

3. Interest Rates and Fees

Interest rates range from 10.5% to 24% p.a. Processing fee: 1% to 3%. Prepayment penalty: 2% to 5% of principal after lock-in period.

4. Required Documents

KYC (Aadhaar, PAN), last 3 months salary slips, 6 months bank statement, Form 16.